

Our basic test is applied only to the *average* results for a period of years. Other authorities require also that a *minimum* coverage be shown for every year considered. We approve a “poorest-year” test as an *alternative* to the seven-year-average test; it would be sufficient if the bond or preferred stock met either of these criteria.

TABLE 11-1 Recommended Minimum “Coverage” for Bonds and Preferred Stocks

<i>A. For Investment-grade Bonds</i>				
Minimum Ratio of Earnings to Total Fixed Charges:				
<i>Type of enterprise</i>	<i>Before Income Taxes</i>		<i>After Income Taxes</i>	
	Average of Past 7 Years	Alternative: Measured by “Poorest Year”	Average of Past 7 Years	Alternative: Measured by “Poorest Year”
Public-utility operating company	4 times	3 times	2.65 times	2.10 times
Railroad	5	4	3.20	2.65
Industrial	7	5	4.30	3.20
Retail concern	5	4	3.20	2.65

B. For Investment-grade Preferred Stocks

The same minimum figures as above are required to be shown by the ratio of earnings *before* income taxes to the sum of fixed charges plus twice preferred dividends.

NOTE: The inclusion of twice the preferred dividends allows for the fact that preferred dividends are not income-tax deductible, whereas interest charges are so deductible.

C. Other Categories of Bonds and Preferreds

The standards given above are not applicable to (1) public-utility holding companies, (2) financial companies, (3) real-estate companies.